

FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA,
INC.,

Complainant,

v.

SM LINE CORP.,

Respondent.

Docket No. 23-01

Served: August 13, 2026

BY THE COMMISSION: Laura DiBELLA, *Chairman*,
Rebecca F. DYE, Daniel B. MAFFEI, Max M. VEKICH,
Robert J. HARVEY, *Commissioners*.

Order on Initial Decision

This case is before the Federal Maritime Commission (Commission or FMC) on exceptions to an Initial Decision (Decision) of the Administrative Law Judge (ALJ) in a case that Samsung Electronics America, Inc. (SEA) brought against SM Line Corporation (SM Line). SEA alleged that SM Line, an ocean common carrier, violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15), mainly in connection with demurrage and detention charges (late fees) SM Line assessed on shipments of SEA containers from 2020 to 2022. The ALJ found SM Line liable for

violations of those provisions and awarded reparations of about \$1.9 million. SM Line now argues that no reparations should have been awarded, while SEA argues that the amount awarded should have been about \$17 million. We affirm the ALJ's decision in almost all respects.

The ALJ determined that SM Line violated 46 U.S.C. § 41102(c). The ALJ found that SM Line had an unreasonable practice of billing demurrage and detention (D&D) to the extent it assessed charges regardless of which party was responsible, since the record showed the carrier used such charges as a tool to maximize profits rather than incentivize cargo movement. However, the ALJ found that the final element required to establish liability under 46 C.F.R. § 545.5, proximate cause, had been shown only where sufficient evidence linked a claimed loss to that unreasonable practice. SEA failed to present the kind of container-by-container showing that has generally been required. But a detailed internal risk assessment spreadsheet prepared by SM Line, which the ALJ called the D&D Summary Report, provided a sufficient basis for a liability finding as to 115 charges that were due to "port congestion" or "chassis shortage," causes that were SM Line's responsibility. The ALJ awarded reparations of about \$1.9 million for those charges.

The ALJ also determined that SM Line violated 46 U.S.C. § 41104(a)(14) and 41104(a)(15) in issuing six detention invoices in July and September 2022 that did not contain all of the information required by 46 U.S.C. § 41104(d), provisions added by the Ocean Shipping Reform Act of 2022 (OSRA 2022) and effective on June 16, 2022. Because there was no evidence SEA had paid those invoices, though, the ALJ awarded no remedy.

Both parties filed exceptions to the ALJ's decision, but we deny those challenges. First, SM Line fails to challenge the ALJ's liability finding, and that finding is upheld. At a minimum, the record shows that SM Line had an unreasonable practice of billing SEA for D&D without paying sufficient attention to promoting freight fluidity by evaluating the cause of the delay, reflecting that

SM Line's billing was done at least in part on the improper basis of revenue generation. For its part, SEA disputes the ALJ's finding that proximate cause was shown only as to the "port congestion" and "chassis shortage" categories, arguing that because SM Line's violations were "systemic," liability was established for almost every charge and related cost to SEA resulting from SM Line's billing during the relevant period, and there is no need for a container-specific analysis. But that position would render the proximate cause element of 46 C.F.R. § 545.4 largely meaningless. SEA provides no sufficient reason to deviate here from the approach in recent FMC cases to require that it make a container-specific showing of actual damage. SEA does not dispute that charges in three small categories listed on the D&D Summary Report were reasonable, an indication that the existence of an unreasonable billing practice does not mean that every charge a carrier assesses causes actual injury.

Both parties challenge the ALJ's award of reparations for the section 41102(c) violations, but the award was within the ALJ's discretion. The primary basis for the award was the D&D Summary Report, the risk assessment created by SM Line in 2023, shortly after this litigation began. The Report is an Excel spreadsheet that details thousands of D&D charges assessed by SM Line from 2020-2022, with many data points as to each container, including container number, U.S. terminal, date, and a "factual basis" for the underlying cause of 62% of the charges. Although the Report indicates that many of these charges were never collected, it shows about \$6.6 million in charges paid to SM Line, including the \$1.9 million for which the ALJ awarded reparations.

SM Line argues that no reparations should have been awarded because the D&D Summary Report is not reliable enough, but its claims are unavailing. The Report bears many hallmarks of reliability as a party statement, particularly under the relaxed evidentiary standards applicable to this agency adjudication. It is a detailed, container-specific data set compiled by SM Line using its own data management system and email records. SM Line claims

the data is preliminary, incomplete, and unverified, but it fails to argue that any specific part of the Report is incorrect. SM Line identifies a small number of the 115 “port” and “chassis” charges (20%) that it asserts already reflect some discounting, and so it argues that the remaining charge amounts are reasonable. But such discounting is also consistent with the whole charges being unreasonable. SM makes no specific challenge to the other 80% of charges within the two categories.

SM Line also argues that the interest the ALJ awarded under 46 U.S.C. § 41305(a) should start accruing when the FMC complaint was served, rather than at the mid-point of the dates of the charges at issue, because of alleged delay by SEA. That claim is rejected, but the start date will be moved a few months later, in accord with the dates of the actual violations proved.

On the other hand, SEA argues that reparations should have been awarded for virtually all the D&D charges paid for its SM Line shipments during 2020-22, including those paid to third parties, as well as related costs and lost profits, for a total award of about \$17 million. Once again, SEA’s main claim appears to be that it need only establish that SM Line had an unreasonable practice of billing without regard to fault and that SEA paid charges in connection with SM Line’s services. But as discussed above, reparations can be awarded only where actual injury is reasonably certain, and it was within the ALJ’s discretion to require a container-specific analysis to show that a particular charge was unreasonable. SEA tries to distinguish the container-specific approach to reparations applied in recent FMC cases, but its efforts are unpersuasive.

SEA’s fallback arguments also miss the mark. SEA argues that it should be awarded reparations at least for all paid charges on the D&D Summary Report where there was insufficient evidence of the underlying cause or SM Line otherwise failed to justify the charge, which would total about \$6.5 million. But in this case the burden to prove that a particular charge unlawfully caused SEA harm is with SEA, not SM Line. Indeed, SEA effectively conceded

that not every charge on the Report was unreasonable. SEA also argues that the FMC should “extrapolate” from the Report to get a comparable ratio of damages for the claimed charges the Report does not address, which would bring its damages to more than \$14 million. That claim fails for the same reason that SEA’s claims as to the majority of charges on the Report do. Charges that have not been shown to cause harm cannot be the basis for such extrapolation. More plausibly, SEA argues that the Commission should at least extrapolate from the two categories of D&D charges for which proximate cause *has* been shown, and award damages in the same proportion as the ALJ did for charges on the Report, for a total of about \$4.2 million. But SEA has not shown that the SM Line D&D charges on the Report are sufficiently representative of the non-Report charges, which encompass a variety of related but distinct types of costs, including charges by third parties.

SEA also seeks double reparations under 46 U.S.C. § 41305(c), but that claim must fail. Additional reparations were not available for section 41102(c) violations until the effective date of OSRA 2022, June 16, 2022, and SEA identifies no specific unreasonable charges after that date. None of the “port” or “chassis” charges on the Report are dated June 2022 or later.

SEA argues that, if the Commission finds SEA’s current showing inadequate to justify reparations beyond what the ALJ awarded, it should be permitted to make its case using the procedure in 46 C.F.R. § 502.251, under which parties have an opportunity to “agree or make proof” about the specific amount due. But this is not an appropriate situation for that procedure. SEA had ample opportunity to develop and present its evidence as to reparations before the ALJ.

SEA seeks sanctions for SM Line’s alleged spoliation of electronically stored information (ESI), specifically an adverse inference or at least attorneys’ fees, but the denial of that request was within the ALJ’s discretion. It appears that SM Line did fail to issue a litigation hold and failed to pause a long-standing 90-day

auto-delete practice for emails at its South Korean headquarters. Those failures are troubling and should not have happened, but the ALJ permissibly determined that SEA did not meet its burden to show sanctionable spoliation under the standards of Federal Rule of Civil Procedure 37(e). That Rule requires showing first a duty to preserve documents that were lost, and then either prejudice or an intent to deprive the other party of relevant material. SEA did not meet those standards, in particular because it failed to show that material relevant to its U.S.-focused claims here was lost as a result of SM Line's failure to act as to emails held solely in South Korea.

Finally, SM Line has moved for confidential treatment of limited parts of its response to exceptions. SM Line shows good cause and that motion is granted.

I. BACKGROUND

A. Procedural history

In April 2023 SEA, a consignee, filed an FMC complaint alleging that SM Line, an ocean common carrier, had violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15), mainly in billing D&D charges for shipments of SEA containers from 2020 to 2022. *See* Verified Complaint (Doc. 1) (Apr. 19, 2023) (Complaint); Decision (Doc. 148) (May 28, 2025) at 1, 5-6. The Complaint alleged unreasonable practices in violation of section 41102(c) in connection with SM Line's billing of such charges in the course of providing inland transportation of SEA containers under "store door" or carrier haulage terms. *See* Decision at 5-6. The Complaint also alleged violations of (1) section 41104(a)(15) through SM Line's invoicing of such charges without including all of the information required by section 41104(d), and (2) section 41104(a)(14) to the extent such charges did not comply with section 41102(c), all to the extent that billing occurred after OSRA 2022's June 16, 2022 effective date. *See id.* at 6.

Discovery began later in 2023 and continued into 2024, with many motions. *See* FMC Docket No. 23-01 (Docs. 40-41, 45, 52-53, 55, 66, 70, 72-76, 78-80). One early 2024 dispute focused on the status of the inadvertently disclosed D&D Summary Report, the SM Line risk assessment, which later became Complainant's Exhibit 4714 (CX4714). *See* Docs. 55, 66, 72. The ALJ determined that this document had been protected work product, but that protection had been waived. *See* Memorandum Order Regarding Confidential Document (Doc. 72) (Feb. 22, 2024).

From April to June 2024, the parties filed proposed findings of fact and merits briefs. *See* FMC Docket No. 23-01 (Docs. 85, 91-98, 102-05, 108-09). However, a deposition occurred after those submissions, in November 2024, and the ALJ permitted the parties to make supplemental factual and legal submissions in December 2024 and early 2025. *See* Docs. 110, 113-43.

In May 2025, the ALJ issued the Initial Decision. *See* Decision. Both SEA and SM Line timely filed exceptions and responses. *See* Respondent SM Line's Exceptions to Initial Decision (Doc. 149) (June 20, 2025) (SM Line Exceptions); Complainant SEA's Exceptions to the Initial Decision (Doc. 150) (June 20, 2025) (SEA Exceptions) (public and confidential versions; future references are to public version unless otherwise noted); Complainant SEA's Reply to Respondent's Exceptions to the Initial Decision (Doc. 151) (July 14, 2025) (SEA Reply); Respondent SM Line's Response to Complainant SEA's Exceptions to Initial Decision (Doc. 153) (July 16, 2025) (SM Line Reply) (public and confidential versions; future references are to public version unless otherwise noted). Although the parties redacted limited information as confidential, they made no claims of confidentiality as to the contents of the D&D Summary Report (CX4714), and both discussed the contents of that document freely in the public filings.

SM Line also filed a motion for confidential treatment. *See* Respondent's Motion for Confidential Treatment of Portions of Its

Response to Complainant SEA's Exceptions to Initial Decision (Doc. 152) (July 16, 2025).

B. The ALJ's Initial Decision

1. Findings of fact

The ALJ made extensive findings of fact. *See* Decision at 13-37. The ALJ found that SEA is a consumer electronic products company incorporated in New York, with a principal office in New Jersey, and SM Line is an ocean common carrier based in South Korea, with a principal U.S. corporate office in Arizona. *See id.* at 13; 46 U.S.C. § 40102(7), (18). SEA seeks damages for more than 18,000 transportation-related charges incurred during the period January 1, 2020 to December 31, 2022. *See* Decision at 13.

The ALJ also explained the services SM Line provided to SEA. *See* Decision at 15-17. SM Line transported SEA containers from overseas locations to various U.S. ports and then on to inland locations. *See id.* at 15-16. Arrangements like these, where the ocean carrier is responsible for carrying cargo from a port to inland locations, are called carrier haulage or “store door” arrangements. *See id.* at 16. By contrast, merchant haulage or “CY (container yard)” transportation occurs where the shipper arranges for that transport. *Id.* SEA was the consignee for the relevant shipments, which occurred under service contracts SM Line made with SEA affiliates. *See id.*

Starting in 2019, SM Line carried SEA's containers under store door terms, with SM Line using either its own “house carrier” truckers or “customer nominated truckers” (CNTs) nominated by SEA and approved by SM Line. *See* Decision at 16-17. SEA preferred CNTs. *See id.* at 16. But during the COVID-19 pandemic, SEA experienced port congestion, shortages of workers and equipment, and delays, resulting in many D&D charges. *See id.* at 19-20. That situation eventually led SEA to stop using store door

arrangements around August 1, 2022, and after that point to arrange its own inland transport using CY arrangements. *See id.* at 20.

During the period relevant to this case, both SM Line and SEA played active roles in transportation by CNTs. *See* Decision at 20-23. SEA provided delivery instructions and monitored the progress of deliveries. *See id.* at 20-21. SM Line issued work orders and notices to CNTs after containers arrived, was responsible for making chassis and return locations available, and paid the truckers the trucking rate. *See id.* at 21-23.

SM Line's published tariff during the relevant period, as referenced in its contracts with SEA's affiliates, indicated that D&D charges for delays under CNT arrangements that were due to the trucker's non-performance were the responsibility of the customer, not SM Line. *See* Decision at 17-19. But SM Line admitted that when terminals are closed and container pickup is not possible, or when terminals are not accepting empty equipment, it could and should issue "stop clocks," pausing the accrual of D&D charges. *See id.* at 24. SM Line also admitted that when terminals are congested and containers unavailable, it should cancel or waive such charges as long as attempts for pickup were made. *See id.*

SM Line also contracts with rail carriers to provide some inland transport service. *See* Decision at 25. When containers remain at rail terminals past allotted free days, they accrue daily "rail storage" charges. *See id.* SEA paid such charges during the relevant period. *See id.* at 26.

The ALJ also made findings about relevant SM Line corporate policy and procedural documents and systems. SM Line adopted a D&D Management Procedure when the company was formed in 2017. *See* Decision at 27. Its stated purpose was to "establish [an] efficient working procedure for billing and collection of [D&D] charges, intending to improve equipment turn-time *and generate additional revenue.*" *Id.* (emphasis added). This document, which has been updated several times, also governs potential

waivers and discounts of such charges, with certain actions requiring approval by SM Line’s headquarters in South Korea. *See id.* at 27-28. The “top three” situations in which SM Line would waive D&D charges were: “(1) delay caused by congestion at the terminal, (2) unable to locate containers, and (3) differences [] in the calculation of the last free date between the terminal and SM Line’s system.” *Id.* at 28-29; *see id.* at 36 (SM Line policy was to waive D&D charges caused by port congestion).

In late October 2022 Sung-Hyun Kim, an employee at SM Line’s headquarters in South Korea, created a D&D Improvement Plan at the request of Mark Yoon-Jae Lee, the company’s managing director and vice president. *See* Decision at 29. At this time, Kim “understood that SM Line had already recognized that demurrage and detention was a means to increase income and acted to collect the maximum amount.” *Id.* Lee rejected the draft Plan. *See id.* Nevertheless, Kim was promoted in January 2023. *See id.* at 30.

SM Line uses an internal data management operating system called ALPS to track container movement and create D&D invoices. *See* Decision at 30. SM Line senior manager Yeonhui Yi troubleshoots issues in the ALPS system. *See id.* at 15, 30. Where container movement is completed after free time expires, demurrage invoices are issued after the container is picked up at the port, and detention invoices are issued after the container is returned. *See id.* at 31.

After this case began in April 2023, SM Line created the D&D Summary Report (CX4714) as an “early internal risk analysis of SEA’s monetary claims seeking refunds of demurrage and detention charges.” Decision at 34; *see* CX4714. The Report was created by Yeonhui Yi based on a review of SM Line’s internal data, including emails which were later produced in discovery. *See id.* The Report was later inadvertently disclosed by SM Line; as noted above, the ALJ ruled in February 2024 that work product protection had been waived. *See id.* at 34-35 & n.17. The Report contains information on many of the shipments at issue, including dates, U.S.

terminals, the amounts billed and collected, and “a factual basis for 62% of the charges” it covers, meaning an underlying reason for the charges beyond simple lateness. *Id.* at 35. The Report shows “No Reply” for 63% of the demurrage charges, “which signifies that SEA did not respond to SM Line’s request for information.” *Id.* The “factual basis” (causes) listed for charges included: “Port Congestion” for 63 charges, totaling \$644,972.90; “Chassis Shortage” for 52 charges, totaling \$1,268,382.90; “Samsung Operation Issue” for \$3,310 of the charges; and “Warehouse Issues” for \$4,405 of the charges. *Id.* The paid charges on the Report total about \$6.6 million. *See* SEA Exceptions at 31.

SEA’s reparations claims in this case include about \$3.2 million paid to truckers PB Industries and Gold Point; about \$1.7 million for reimbursements made to affiliated Samsung entities for costs related to the shipments at issue; about \$1.7 million for costs charged for container yard storage to avoid higher demurrage charges accruing at terminals; about \$1 million paid for “rehandling issues”; \$573,435 in “chassis use charges”; and about \$16,400 for “chassis flip, chassis, reposition, and chassis split.” Decision at 36. These charges total about \$8.2 million.

The ALJ found that six SM Line invoices issued after June 2022 did not include elements required by OSRA 2022. *See* Decision at 31. SEA did not pay those invoices. *See id.* at 37.

2. Analysis and conclusions of law

The ALJ’s legal analysis was also extensive. *See* Decision at 37-61. The ALJ explained that, in the ordinary course, an FMC complainant has the burden of proving its allegations by a preponderance of the evidence. *See id.* at 37; 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Rana v. Franklin*, FMC Docket No. 19-03, 2022 WL 1744905, at *4 (FMC May 25, 2022). That means showing the allegations are more probable than not. *See* Decision at 37; *Crocus Invs., LLC v. Marine Transp. Logistics, Inc.*, FMC Docket No. 15-04, 2021 WL 3732849, at *3 (FMC Aug. 18, 2021). When direct

evidence is unavailable, the Commission may rely on circumstantial evidence, but not on mere speculation. *See* Decision at 37.

The ALJ first addressed SEA's motion for sanctions for alleged spoliation of ESI. *See* Decision at 38-44. SEA sought an adverse inference and attorneys' fees and costs, including for SM Line's failure to issue a litigation hold and to alter the 90-day auto-delete policy for emails in place at its headquarters in South Korea. *See id.* at 38. SM Line argued that it had provided sufficient relevant information from its U.S. office, where the auto-delete policy was not strictly enforced. *See id.* at 38-39. The ALJ concluded that SEA had failed to establish any of three elements needed to justify sanctions under Federal Rule of Civil Procedure 37(e). *See id.* at 39-44. The ALJ found that the duty to preserve ESI arose not with SEA's September 2022 demand letter, which was equivocal, but with the April 2023 complaint to the FMC, by which time information from the relevant period had been destroyed. *See id.* at 41-42. The ALJ also found that SEA had failed to show a sufficient level of culpability or bad faith, as the record indicated that SM Line was following a pre-existing policy as to the South Korean emails in question. *See id.* at 42-43. Finally, the ALJ found that even though SM Line did not issue a hold, SEA had failed to show that relevant documents were lost, so no prejudice was shown. *See id.* at 43. Rejecting SEA's apparent claim that SM Line's overall course of conduct called for sanctions, the ALJ noted that SEA had received a great deal of relevant discovery, and that neither side in the case had been especially cooperative. *See id.* at 43-44.

Turning to the merits, the ALJ first addressed liability. *See* Decision at 46-59. The ALJ described the five elements needed to establish liability for a section 41102(c) violation as set out in 46 C.F.R. § 545.4, as well as the Interpretive Rule on D&D at 46 C.F.R. § 545.5, which provides specific guidance about when such charges are unreasonable, including the extent to which they serve "their intended primary purposes as financial incentives to promote freight fluidity." *Id.* at 47 (quoting section 545.5(c)(1)); *see id.* at 46-48. The ALJ then analyzed the extent to which SEA had established

each of the five elements. The ALJ found that each of the first three elements were present: SM Line was a covered ocean common carrier; it had sufficiently alleged a “normal, customary, and continuous practice,” given its claims as to more than 18,000 charges over a three-year period; and the charges related to the delivery of property. *See id.* at 48.

The ALJ also found that SEA had established the fourth required element, specifically that SM Line’s conduct was unreasonable. *See* Decision at 49-54. The ALJ rejected SM Line’s argument that its service contract and tariff made SEA generally responsible for D&D charges in the CNT context but also rejected SEA’s argument that SM Line was generally responsible because that is the practice in the carrier haulage context. *See id.* at 49-51. The ALJ determined that liability is not controlled by either of those factors, but by whether the conduct at issue was reasonable under section 41102(c). *See id.* at 50. That in turn, the ALJ said, depended on which party was responsible for the charge in the circumstances of the specific shipments at issue. *See id.* Therefore, the ALJ found it unnecessary to resolve the parties’ competing claims that the other party played a greater role in managing the CNTs. *See id.* at 51. The ALJ found the expert witness testimony provided on behalf of each side largely unpersuasive as to the issue of reasonableness, except to the extent it confirmed that a container-specific analysis was required. *See id.* at 51-52. Even so, the ALJ ultimately accepted SEA’s basic argument that SM Line’s D&D practices did not serve the incentive principle in section 545.5. *See id.* at 52. The ALJ relied on SM Line’s October 2022 D&D Improvement Plan, drafted at a time when SM Line had “already recognized that demurrage and detention was a means to increase income and was maximizing the amounts collected from shippers.” *Id.* The ALJ concluded that SM Line’s D&D billing “constituted an unreasonable practice to the extent it assessed charges regardless of which party was at fault.” *Id.* However, the ALJ rejected SEA’s claim that SM Line’s dispute resolution practices were unreasonable, finding that SEA had not pointed to sufficient record evidence to support that claim. *See id.* at 53.

Next, the ALJ addressed the fifth required element, proximate cause. *See* Decision at 54-55. The ALJ explained that “to prove a claim for reparations,” a claimant must show with reasonable certainty that a violation was the proximate cause of an actual loss. *Id.* at 54. The ALJ found that SEA had failed to make such a showing on a container-by-container basis, as is generally required, but that in this case SM Line’s own D&D Summary Report provided sufficiently reliable evidence as to certain charges. *See id.* Specifically, those were charges caused by factors that were SM Line’s responsibility: 63 charges due to “port congestion,” totaling \$644,972.90, and 52 charges due to “chassis shortage,” totaling \$1,268,382.90. *See id.* The record showed that those factors were beyond SEA’s control and charging it D&D for them would not incentivize cargo movement. *See id.* at 55. Finally, the ALJ found the Report to be admissible evidence here, citing Federal Rule of Evidence 801(d), which provides that certain opposing party statements are not hearsay. *See id.* The ALJ concluded that the Report was sufficiently reliable to constitute prima facie evidence as to the cause of the above charges in the specific circumstances here, and that SM Line had failed to provide evidence to show otherwise. *See id.* Therefore, the ALJ found that proximate cause was established as to the two categories of charges above, which totaled \$1,913,355.80. *See id.*

The ALJ also determined that SM Line had violated 46 U.S.C. § 41104(a)(15) by sending SEA the six D&D invoices between July and September 2022 that did not contain all of the specific information required by 46 U.S.C. § 41104(d), the D&D invoice contents provision added by OSRA 2022 that became effective in June 2022. *See* Decision at 55-58. In particular, the invoices did not state that they complied with FMC rules or that the carrier had not caused or contributed to the charges. *See id.* at 57. Therefore, SEA had no obligation to pay the invoices, but since the record did not indicate that SEA had paid them, the ALJ awarded no remedy. *See id.* at 57-58.

The ALJ found that SM Line had also violated 46 U.S.C. § 41104(a)(14), which prohibits carriers from assessing any charge that fails to comply with “all applicable provisions and regulations,” including section 41102(c). *See* Decision at 58-59. Specifically, the ALJ found that the six 2022 invoices described above violated section 41104(a)(14) by failing to include all of the information section 41104(d) required, but again, since none were paid, there was no basis to award a monetary remedy. *See id.* at 58. The ALJ also found that SM Line had violated section 41104(a)(14) “to the extent” it assessed SEA for the chassis shortage and port congestion charges listed in the D&D Summary Report in violation of section 41102(c), but since the ALJ had already awarded reparations for those charges, it did not order any additional remedy. *Id.*

Finally, the ALJ addressed reparations. *See* Decision at 59-61. The ALJ emphasized that to recover reparations, a claimant must establish actual damages with reasonable certainty. *See id.* at 59. The ALJ reviewed the expert testimony that SEA offered to support its reparations claims, which were for about \$14.5 million in inland transportation charges, plus another \$2.6 million in other costs (mainly off-dock container yard storage) and lost profits, all dating from April 20, 2020—three years before the complaint filing, in accord with the three-year limitations period at section 41301(a)—until the end of 2022. *See id.* at 59-60. The ALJ also considered SM Line’s opposing expert testimony. *See id.* at 60-61. The ALJ ultimately awarded reparations only for the charges on the D&D Summary Report that were due to chassis shortage or port congestion, totaling \$1,913,355.80. *See id.* at 61. The ALJ found SEA’s request for additional damages to be inadequately supported and speculative, with insufficient links to the unreasonable practices that violated section 41102(c). *See id.* The ALJ also awarded interest under section 41305(a), selecting a date of injury, pursuant to Commission precedent, at the mid-point of the D&D charges at issue, or August 25, 2021. *See id.*

II. DISCUSSION

A. Standards of review

When the Commission reviews exceptions to an ALJ's Initial Decision, it normally has "all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). The Commission therefore generally reviews the ALJ's findings de novo. *Id.*; see also *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, FMC Docket No. 21-05, 2024 WL 3514613, at *9 (FMC July 16, 2024).

However, some elements of the Decision at issue here are reviewed under an abuse of discretion standard. The Commission reviews discovery orders, including orders regarding sanctions, under that standard. See *Marine Transp. Logistics, Inc. v. CMA CGM S.A.*, FMC Docket No. 22-23, 2025 WL 1828626, at *7 (FMC June 27, 2025); *MCS Industries*, 2024 WL 3514613, at *9; *Rana*, 2022 WL 1744905, at *4. This discretion extends to requests for spoliation sanctions. See *Brown v. Nolen*, No. 22-1047, 2022 WL 17986261, at *3 (D.C. Cir. Dec. 29, 2022) (ALJ in FAA proceeding did not abuse his discretion in denying spoliation motion).

In addition, evidentiary decisions are reviewed under an abuse of discretion standard. See *Marine Transport*, 2025 WL 1828626, at *8; *Stein, Inc. v. NLRB*, No. 20-1050, 2025 WL 655081, at *3 (D.C. Cir. Feb. 28, 2025) (appeals court reviews NLRB evidentiary rulings for abuse of discretion); *Klayman v. Judicial Watch, Inc.*, 6 F.4th 1301, 1317 (D.C. Cir. 2021) (appeals court reviews district court evidentiary rulings for abuse of discretion).

Finally, ALJ determinations regarding reparations are reviewed for abuse of discretion. See *Marine Transport*, 2025 WL 1828626, at *8; *MCS Industries*, 2024 WL 3514613, at *10. Federal appellate courts reviewing awards of damages by district courts also generally use an abuse of discretion standard. See *Spanski Enters., Inc. v. Telewizja Polska, S.A.*, 883 F.3d 904, 909 (D.C. Cir. 2018).

(statutory damages award under Copyright Act reviewed for abuse of discretion). The basic rationale is that “[d]amage awards are ‘findings of fact governed by Federal Rule of Civil Procedure 52(a), which will not be disturbed unless clearly erroneous.’” *U.S., for Use and Benefit of Am. Civil Constr., LLC v. Hirani Eng’g & Land Surveying, PC*, 26 F.4th 952, 959 (D.C. Cir. 2022) (quoting *Buchheit v. Palestine Liberation Org.*, 388 F.3d 346, 350 (D.C. Cir. 2004) (internal quotations omitted)).

B. The ALJ’s determinations as to SM Line’s liability are upheld

As explained above, the ALJ determined that SM Line violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15). Neither party challenges the ALJ’s liability determinations as to sections 41104(a)(14) or 41104(a)(15). As to section 41102(c), SM Line fails to adequately raise a challenge to the ALJ’s determination that it violated the statute, and as a result any such challenge is forfeited. SEA does challenge the liability determination, arguing that liability should have extended to far more activity because proximate cause was established for more violations. But the ALJ’s finding as to the scope of liability here is upheld.

1. The ALJ correctly determined the extent to which the record showed SM Line violated 46 U.S.C. § 41102(c)

In finding SM Line liable for violating section 41102(c), the ALJ analyzed the five required elements that are set out in 46 C.F.R. § 545.4, with a focus on the last two: whether the challenged carrier practice was unreasonable and the extent to which it was the proximate cause of actual damage. *See* Decision at 46-59. The ALJ concluded that SM Line had an unreasonable practice of billing D&D “to the extent it assessed charges regardless of which party was at fault,” since the record indicated it used D&D charges as a tool to maximize profits rather than incentivize cargo movement. Decision at 52; *see id.* at 53-55; 46 C.F.R. § 545.5. However, the

ALJ found that proximate cause was shown only where sufficient evidence linked a claimed loss to that unreasonable practice, which was the case only for the 115 charges in the “port congestion” and “chassis shortage” categories on SM Line’s D&D Summary Report. *See* Decision at 54-55; CX4714. The record showed that D&D charges caused by port congestion and chassis shortage were SM Line’s responsibility, so charging SEA for them would not promote freight fluidity. *See* Decision at 24, 54-55; SM Line Reply at 6-8.

As a preliminary note, although the ALJ and the parties do not appear to regard the D&D Summary Report as providing “container-by-container” evidence, it is container-specific. It includes detailed data, assembled by SM Line itself from its database and email records, for each of more than 30,000 SEA containers, with information as to the underlying causes of about 62% of the D&D charges reflected in brief notes. *See* Decision at 34-35; CX4714. The Report divides the charges into demurrage and detention categories, and then, where SM Line found evidence of an underlying cause of the charge, further assigns each charge to a subcategory, including port congestion and chassis shortage. *See id.* Given that level of detail, the ALJ correctly found the Report sufficient to show proximate cause as to those two subcategories.

a. SM Line fails to dispute liability

SM Line’s exceptions brief does not directly challenge the ALJ’s liability determination, and any such challenge is now forfeited. *See* SM Line Exceptions. SM Line does make two isolated statements that suggest disagreement with the liability findings, at the start and end of its short exceptions brief, which is otherwise devoted to disputing the ALJ’s reparations award. *See id.* at 1 (claiming that the ALJ held the D&D Summary Report was “sufficient evidence to relieve [SEA] of its burden to prove that SM Line engaged in unreasonable practices”); 9 (the FMC should reverse the reparations award, which would uphold the standard requiring complainants “to prove their case, both with respect to liability and with respect to the quantification of damages”). These

cursory and ambiguous references to the ALJ's liability determinations are insufficient to avoid a forfeit of any potential challenge to them here. *See MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222, 241 (D.C. Cir. 2025) ("Mentioning an argument in the most skeletal way, leaving the court to do counsel's work ... is tantamount to failing to raise it." (cleaned up)).

In SM Line's reply to SEA's exceptions, SM Line makes two additional statements that suggest disagreement with the liability findings. *See* SM Line Reply at 8 (noting in passing that SM Line "rejects the possibility" that any charges collected from SEA were in a category for which SEA was not at fault); *id.* at 26 (SEA must show how the violation the ALJ found "(which SM Line disputes)" caused actual damage and entitles SEA to reparations). But those statements are merely parenthetical (whether in fact or in spirit) and they are likewise insufficient to raise the liability issue. And in any event, the issue was already forfeited by SM Line's failure to raise it in its initial exceptions brief. *See MSC Mediterranean Shipping Co. S.A. – Possible Violations of 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A)*, FMC Docket No. 23-08, 2026 WL 92421, at *14, *38 n.1 (FMC Jan. 6, 2026) (arguments not presented in opening brief are normally waived).

Thus, SM Line has failed to dispute liability, as SEA's reply correctly points out. *See* SEA Reply at 1. Of course, there is some overlap between the basis for the proximate cause determination and the reparations award SM Line does challenge, as both rely on the D&D Summary Report. But SM Line's choice to challenge the award only in terms of reparations, and to make no direct or timely argument as to liability, confines it to the reparations issue now.

- b. SEA's challenge to the scope of liability is unpersuasive

SEA argues that the ALJ's liability determination should have gone much further, to extend to virtually every D&D charge it has placed at issue in the case and certain related costs. And unlike

SM Line, SEA includes an explicit and substantial challenge to the ALJ's proximate cause analysis. *See* SEA Exceptions at 20-22 (subsection headed "The ID's Proximate Cause Analysis Was Flawed and Contradicts Commission Precedent"). But SEA's challenge is unavailing.

SEA's basic argument is that because the ALJ identified a "systemic" practice in which SM Line billed SEA for D&D charges "regardless of which party was at fault," proximate cause was established for almost every charge SEA paid in response, *i.e.*, virtually every charge at issue here. SEA Exceptions at 20-21; *see id.* at 2-6, 20-25. In SEA's view, no container-specific analysis is required to establish the extent of liability, because virtually every bill it paid flowed from this broad systemic practice. *See id.* at 22-25. Thus, although SEA concedes that recent FMC cases "have trended toward requiring container-by-container evidence," citing no less than four of them, SEA tries to distinguish those cases, arguing that they were in the merchant haulage context and involved fewer violations. SEA Exceptions at 23-25 (citing, *inter alia*, *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, FMC Docket No. 24-01, 2025 WL 1662697 (ALJ Apr. 28, 2025); *TZ SSE Buyer, LLC v. Yang Ming Marine Transp. Corp.*, FMC Docket No. 24-10, 2025 WL 1083815, at *19-23 (ALJ Mar. 24, 2025); *Hapag-Lloyd, A.G. & Hapag Lloyd (Am.) -- Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket No. 21-09, 2022 WL 1239377, at *1 (ALJ Apr. 22, 2022)). SEA also emphasizes that carriers like SM Line sought to maximize profit during the difficult days of the COVID-19 pandemic, to the detriment of shippers and others, conduct that was a key factor in the passage of OSRA 2022, and SEA urges the FMC to respond forcefully here. *See* SEA Exceptions at 3, 8-9, 39-40.

We are keenly aware of the situation of shippers facing abuses at the hands of carriers unlawfully seeking to maximize profits, and in recent years the Commission has taken many steps to address that situation. *See* FMC, Ocean Shipping Reform Act of 2022 Implementation, <https://www.fmc.gov/ocean-shipping->

[reform-act-of-2022-implementation/](#) (last visited July 16, 2026). But in this particular case, the ALJ's conclusion as to the scope of liability proved was correct. At a minimum, the record here shows that SM Line had an unreasonable practice of billing SEA for demurrage and detention without paying sufficient attention to promoting freight fluidity by assessing the cause of the delay, reflecting that SM Line's billing was done at least in part on the improper basis of revenue generation. But that practice was the proximate cause of damage to SEA only where the record contained sufficient evidence of that damage, based on a reasonable level of container-specific analysis. *See* Decision at 52-55; *see also* SM Line Reply at 9-12 (discussing burden of proof and container-specific analysis).

The ALJ did describe the unreasonable practice here in seemingly broad terms, namely as occurring “to the extent [SM Line] assessed charges regardless of which party was at fault.” Decision at 52. But the phrase “to the extent” leaves the precise scope of *liability* to be further defined. Indeed, if merely showing that an unreasonable practice existed was sufficient, it would make the proximate cause element of 46 C.F.R. § 545.4 largely meaningless. The ALJ's proximate cause analysis made clear that liability was established only where that practice resulted in actual damage. And that occurred only where the record showed that a specific resulting charge or category of charges was unreasonable, based on an analysis done with reference to specific containers. *See id.* at 54-55 (citing, *inter alia*, *Hapag-Lloyd*, 2022 WL 1239377, at *2 (finding that only some of the specific detention charges at issue were unreasonable under section 41102(c), where appointments were unavailable only for certain attempted returns)); *see also* SM Line Reply at 9-12. The nature and scope of an unreasonable practice is determined by reference to 46 C.F.R. § 545.5, with its focus on the incentive principle and whether the charges at issue served to promote freight fluidity. That approach appropriately takes into account the record evidence that SM Line did exercise some discretion in billing, including stopping the clock and waiving charges in some cases, for example when terminals were congested.

See Decision at 24, 54-55; SM Line Reply at 6-8. Thus, the charges in the chassis shortage and port congestion categories were not merely a “second unreasonable practice,” as SEA claims (Exceptions at 22), but the only adequate basis for finding liability here. SEA had the burden of proof in this case, *see* Decision at 37, and it was not “damaged” by charges that it did not show were unreasonable. We note that CX4714 indicates that the great majority of disputed D&D charges here, and all of the charges in the two categories that resulted in liability, were incurred in shipments undertaken through customer-nominated trucker (CNT) or customer-preferred trucker arrangements, so the case does not involve charges incurred mainly in the context of “pure” or “house” carrier arrangements.

The compelling evidence as to SM Line’s general motives in billing for D&D does not dictate a different result. Certainly, it is relevant to the reasonableness analysis under 46 C.F.R. § 545.5 that a major part of SM Line’s purpose in collecting D&D from SEA during the relevant period was revenue generation, as that runs counter to the incentive principle. SM Line’s 2017 D&D Management Procedure indicates that both improving equipment turn-time *and* gaining additional revenue were the goals of its D&D collection practice. *See* Decision at 27-29. The ALJ also relied on the disputed October 2022 D&D Improvement Plan as the “most telling evidence” that SM Line’s billing of D&D was intended to increase profits and did not serve the incentive principle. *See* Decision at 29-30, 52-53. We note that that draft Plan, whatever its status as an expression of SM Line policy, was dated long after the vast majority of the D&D charges on the D&D Summary Report that appear to have actually been paid. *See* CX4714. But whatever the precise extent to which SM Line’s D&D billing was motivated by a desire to maximize revenue, the reasonableness analysis is only part of the liability determination under section 41102(c).

Perhaps the most telling indication of the limited scope of liability here is SEA’s effective concession that it was *not* unreasonable to bill it for the 24 charges in the three categories on

the D&D Summary Report for which SEA was responsible. *See* SEA Exceptions at 31 (SEA does not dispute the Decision’s exclusion of charges in the “Warehouse Issue,” “Diversion,” or “Samsung Operation Issue” categories); SEA Reply at 6 (those charges were “for reasons arguably within SEA’s responsibility”); Decision at 35, 51 (SEA admitted before the ALJ that billing the consignee is appropriate in the warehouse and diversion situations); CX4714. SEA’s position amounts to a tacit admission that not all of the disputed charges, even if issued in connection with SM Line’s broad “unreasonable practice” as to D&D, result in liability under section 41102(c).

SEA also argues that once it showed SM Line had a “systemic” unreasonable practice in billing for D&D and that it paid D&D charges to the carrier, the burden shifted to SM Line to show that each of those charges was reasonable. *See* SEA Exceptions at 13, 17-18. That is a distortion of the situation here. SEA cites FMC cases from more than two decades ago discussing that kind of burden shifting in deciding whether a practice was reasonable as a general matter, but none of those cases assessed the proximate cause element of section 545.4, which was issued in 2018. *See id.* at 17. SEA does argue that in one recent case, the Commission found that once a claimant provided prima facie evidence that a D&D practice was unreasonable, it was up to the carrier to show that it was reasonable. *See id.* at 18 (citing *TCW v. Evergreen*, FMC Docket No. 1966(I), 2025 WL 516256 (FMC Feb. 13, 2025)). But proximate cause was not a disputed issue in that case. In *Evergreen*, a trucker had provided evidence as to why a D&D charge as to one specific container was unreasonable; the carrier then had to counter the evidence. *See* 2025 WL 516256, at *7-11. But there was no question that the billing practice at issue there had caused a loss as to that container. Here, by contrast, such container-specific evidence has been presented only as to the charges in the port congestion and chassis shortage categories; it was up to SM Line to counter that evidence, which it has failed to do. *See supra* section II.B.1.a. But with regard to the great bulk of the charges at issue here, where the underlying cause of the charge remains unclear—those that seem to

fall in between the port and chassis categories, on the one hand, and the three small categories of charges for which SEA effectively concedes its own responsibility, on the other—SEA has not presented evidence sufficient to shift the burden to SM Line.

SEA's other liability complaints (Exceptions at 23-25) are unpersuasive. There were a large number of charges at issue here, but that does not relieve SEA of its responsibility to show proximate cause with reasonable certainty, as SM Line notes. *See* SM Line Reply at 1-3. We note that SM Line, with only a small fraction of the resources available to SEA, was able to compile the D&D Summary Report, with detailed information as to thousands of specific D&D charges, in the weeks following the filing of the complaint in 2023. *See* Decision at 34-35; SM Group, available at http://www.smsteel.co.kr/en/company/sm_group.php (last visited July 16, 2026) (SM Line's parent SM Group had about \$12 billion in assets in May 2024); Forbes, Samsung Profile, available at <https://www.forbes.com/companies/samsung-electronics/> (last visited July 16, 2026) (SEA's parent Samsung had about \$350 billion in assets at the end of 2024). Other recent FMC cases have also involved large numbers of disputed D&D charges, although admittedly not as many as in this case. *See, e.g., TZ SSE Buyer*, 2025 WL 1083815, at *1, *19-23 (denying reparations for most disputed D&D and other charges after a container-specific analysis of 626 container shipments determined that complainant had failed to show that most of the charges subject to the Shipping Act were unreasonable); *Visual Comfort*, 2025 WL 1662697, at *1, *24-25 (denying reparations as to 327 D&D and other charges after a comparable container-specific analysis). SEA cites a Commission policy statement on class actions, *see* SEA Exceptions at 25, but that statement did not purport to address SEA's situation here, which is not sufficiently similar to that of a class action claimant in any event.

SEA also notes (Exceptions at 23-24) that many recent FMC cases taking a container-specific approach to liability were in the merchant haulage context. But SEA points to no authority stating that that approach does not apply in the current carrier haulage

context, *see* SM Line Reply at 10, nor does it explain why that approach should not apply in the specific circumstances of this case, apart from emphasizing again the high number of charges at issue because of SM Line’s “systemic” violations. In fact, merchant haulage violations can also be systemic—they must, after all, be a “practice” to violate section 41102(c) at all—and they too can be numerous. *See, e.g., Visual Comfort*, 2025 WL 1662697, at *1, *24-25 (undertaking container-specific analysis of 327 charges that claimant alleged were issued “automatically” regardless of underlying cause).

In sum, the ALJ reached the correct conclusion as to the scope of section 41102(c) liability proved in this case, and neither party demonstrates otherwise.

c. OSRA 2022’s additional option for D&D claims under 46 U.S.C. § 41310

We note that OSRA 2022 provides an additional option to challenge D&D charges that occur after the statute’s effective date of June 16, 2022. *See* 46 U.S.C. § 41310. Section 41310(a) provides that persons may submit to the FMC information concerning complaints about charges assessed by common carriers, and that information “shall include the bill of lading numbers and invoices.” Section 41310(b) directs the Commission to investigate the charges for compliance with sections 41102 and 41104(a), providing the carrier the opportunity to submit further relevant information, but also stating that the carrier “shall...bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to [46 C.F.R. §] 545.5.” If the Commission finds that a charge does not comply with sections 41102 or 41104(a), the agency “shall promptly order the refund of charges paid,” and “a civil penalty under section 41107 shall be applied to the common carrier making such charge.” 46 U.S.C. § 41310(c), (d).

In this case, SEA’s April 2023 complaint did not include information sufficient to constitute a charge complaint within the

meaning of section 41310(a). *See* Complaint. We note, however, that section 41310 does not include or reference a time limit for bringing such actions.

2. The ALJ correctly determined that SM Line violated 46 U.S.C. § 41104(a)(15)

The ALJ also correctly found that six specific D&D invoices SM Line issued in July and September 2022 failed to contain all the information listed in section 41104(d) and therefore violated section 41104(a)(15), which prohibits failing to include such information. *See* Decision at 55-58. Specifically, the invoices did not include the last two required elements, indicating that the D&D charges were consistent with FMC rules and the billing carrier did not cause or contribute to them. *See id.* at 56-57; 46 U.S.C. § 41104(d)(2)(L), (M). And the invoices were issued after the June 2022 effective date of OSRA 2022, which added the above provisions. But because the ALJ found that SEA never paid those bills, the ALJ ordered no reparations for these violations. Neither party challenges that determination, and we see no reason to disturb it.

3. The ALJ correctly determined that SM Line violated 46 U.S.C. § 41104(a)(14)

The ALJ found that the same six D&D invoices issued in July and September 2022 also violated section 41104(a)(14), another provision added by OSRA 2022 that bars “any party” from assessing a charge “that is inconsistent or does not comply with all applicable provisions and regulations,” specifically including section 41102(c). *See* Decision at 58. The ALJ found that the failure to comply with 46 U.S.C. § 41104(d)(2)(M), as noted above, violated section 41104(a)(14). But again, because the ALJ found no evidence that SEA ever paid those bills, it awarded no reparations. Neither party challenges that determination here, and we see no reason to disturb it.

The ALJ also stated that SM Line violated section 41104(a)(14) “to the extent” it billed SEA for the “port congestion” and “chassis shortage” charges on the D&D Summary Report in violation of section 41102(c), apparently because every charge that violates section 41102(c) post-OSRA 2022 also violates section 41104(a)(14). Decision at 58-59. But, the ALJ noted, SM Line had already been assessed damages for those charges, so no further reparations would be awarded. *See id.* We note that it does not appear that any of the 115 charges in the “port congestion” or “chassis shortage” categories actually post-dated June 16, 2022. *See* CX4714. If that is correct, section 41104(a)(14) did not yet exist when those section 41102(c) violations occurred, and so it could not have been violated by those charges. But in light of the ALJ’s “to the extent” phrasing, the best interpretation of the discussion on this point may be that it was simply allowing for the possibility that such a section 41102(c) violation occurred after the passage of OSRA 2022, even if it was not clear that any was specifically proved here.

C. The ALJ’s decisions regarding reparations were largely within the ALJ’s discretion, and the parties’ challenges to those decisions are rejected

The ALJ awarded reparations to SEA for the D&D charges in the “port congestion” and “chassis shortage” categories on the D&D Summary Report, which SM Line assessed in violation of 46 U.S.C. § 41102(c), and which totaled about \$1.9 million. SM Line argues that the record does not provide adequate support for any award, mainly because its own Summary Report is unreliable, but its claims are unavailing. The award was within the ALJ’s discretion in the circumstances here and it should be upheld, except for a small modification to the date from which interest accrues. SEA argues that the ALJ should have awarded a much greater amount, on the order of \$17 million, but its claims too are misplaced. As explained above in the discussion of liability, SEA failed to sufficiently link any of its other claimed damages to the unreasonable practice the ALJ identified. SEA also makes a new request for double reparations, because OSRA 2022 added that potential remedy for

section 41102(c) violations, but there is insufficient support for such an award here, where it appears none of the proved violations came after OSRA 2022's effective date. Finally, SEA requests that, if its showing as to additional reparations is deemed inadequate, it be permitted to use the procedure described in 46 C.F.R § 502.251 to develop further proof as to reparations. The Commission exercises its discretion to deny that request, as that procedure was not intended for a situation like this one, where SEA has already had ample opportunity to develop its evidence. SEA does not challenge the ALJ's decision to award no additional reparations for the violations of 46 U.S.C. § 41104(a)(14) and (15).

1. The reparations award of about \$1.9 million for SM Line's section 41102(c) violations was within the ALJ's discretion

Having found SM Line liable for section 41102(c) violations for the charges in the "port congestion" and "chassis shortage" categories, the ALJ awarded reparations for the 115 charges SEA paid in those two categories, which totaled \$1,913,355.80. *See* Decision at 59-61; CX4714. As explained above, the D&D Summary Report was created by SM Line as an internal risk analysis, based on SM Line's internal data. *See* Decision at 34-35. The Report provides detail as to what appear to be more than 30,000 containers shipped by SM Line to Samsung entities in the U.S. from 2019 to 2022, although only D&D charges from April 2020 onwards are within the limitations period. *See* CX4714. The paid charges on the Report that are at issue here total about \$6.6 million, although it appears that many other charges were never paid. *See id.*; SEA Exceptions at 31. The Report contains many data points for each listed container, including container numbers, dates, receiving ports and terminals, D&D amounts billed and collected, and evidence of an underlying cause for the charge for about 62% of the charges. *See* Decision at 35; CX4714.

Neither party argues that any specific data point in the D&D Summary Report is inaccurate, and neither disputes the ALJ's

calculation of the reparations award based on the data in the Report. However, both SM Line and SEA challenge the amount of reparations awarded.

- a. SM Line's challenge to the reparations award is unpersuasive

SM Line argues that no reparations should have been awarded, essentially because its own D&D Summary Report is not reliable enough. *See* SM Line Exceptions. But SM Line falls short of showing an abuse of discretion by the ALJ in the circumstances of this case.

As a preliminary matter, reliance on the Report was within the ALJ's discretion under basic standards for weighing the probative value of evidence. *See* 46 C.F.R. § 502.204(a) (evidence is admissible if relevant, material, reliable, and probative); Fed. R. Evid. 401 (evidence is relevant if it makes a fact of consequence more probable). The Report's indicia of reliability include that it was created by a senior manager at SM Line itself, using SM Line's own data, to inform decision-making by SM Line executives; that it is highly detailed and comprehensive; and that SM Line does not claim any specific elements are inaccurate. *See* Decision at 15, 34-35, 52-55; CX4714. We note also that additional flexibility in assessing the Report's evidentiary sufficiency is appropriate because under Commission rules, admissibility is evaluated "in accordance with the Administrative Procedure Act [APA]." 46 C.F.R. § 502.204(a). The Commission has "long recognized the liberal standards of admissibility of evidence in administrative proceedings and the need for considerable relaxation of the rules of evidence followed by the federal courts in proceedings before the Commission." Rules of Practice and Procedure; Presentation of Evidence in Commission Proceedings, FMC Docket No. 16-08, 81 Fed. Reg. 93831 (Dec. 22, 2016); *see* SEA Reply at 8-9 (FMC proceedings follow the more liberal APA standard of evidence). Under these standards, the Report was sufficiently reliable to

support the reparations the ALJ awarded for the two categories of charges involved here.

It is also important to note at the outset what SM Line does not contest here. SM Line does not dispute that the ALJ properly determined that SM Line's privilege claims to the Summary Report were waived following the Report's inadvertent disclosure. *See* Decision at 34-35 & n.17; SEA Reply at 12. Nor does SM Line dispute that the ALJ properly considered the Report to fall outside the general rule against the admissibility of hearsay because it qualifies as an "opposing party's statement" under the analogous Federal Rule of Evidence 801(d)(2). *See* Decision at 55; SM Line Exceptions at 3. SM Line does not appear to claim that any specific D&D charge within the two categories the ALJ identified (port congestion and chassis shortage) actually had a different underlying cause. Nor does SM Line claim that, to the extent a charge *did* result from one of those two causes, it would be properly billed to SEA.

SM Line does argue that as to 23 demurrage charges in the port congestion category—which make up only 20% of the total of 115 charges in the two categories—SEA has failed to meet its burden to justify reparations. *See* SM Line Exceptions at 6-7. SM Line claims that the Report indicates it did not invoice the full amounts it could have for those charges, indicating that SM Line instead used its discretion to discount or waive a certain amount. *See id.* at 6-7 (SM Line actually focuses on just one container, but identifies 22 others it says "share the same pattern"). Thus, SM Line claims, the data indicates that it had already accounted for the extent of its own responsibility for the charges, and the remainder was reasonably charged. But this is basically speculation by counsel. *See* SM Line Exceptions at 6 ("[I]t is more than reasonable to believe that SM Line exercised billing discretion by invoicing only a portion of the potential charges to accommodate it[s] client due to the congestion issues."); SEA Reply at 14-16. In fact, any such discounts are also consistent with the entire charge being unreasonable, and SM Line waiving part of it in an effort to extract at least some funds from SEA, consistent with its focus on

generating revenue from D&D. It may be that some of the amounts paid here were reasonably charged, but SM Line provides no sufficient basis on which such amounts might be determined. In any event, SM Line makes no specific challenge to the other 80% of charges within the two categories.

SM Line also makes more general challenges to the ALJ's reliance on the D&D Summary Report, but these are insufficient as well. *See* SM Line Exceptions at 2-6. SM Line argues that SEA failed to meet a "container-by-container" standard of evidence, and that although the Report is a "statement against interest" that may be admitted and considered in this proceeding, it is not dispositive. *Id.* at 2-3. In particular, SM Line argues that the spreadsheet is unreliable because it was created under a short time frame, based on SM Line's emails and ALPS system but without confirming details, merely to assist counsel in evaluating litigation risk at the start of the case, and it was "not meant to be exhaustive or accurate." *Id.* at 4; *see id.* at 3-6.

However, although the ALJ apparently did not consider the Report to be a container-by-container analysis in the same sense as in some recent cases, the ALJ did explain why the Report met the relevant standard of "reasonable certainty" under the circumstances here. *See* Decision at 54-55, 59-61. The ALJ found that the Report, prepared through SM Line's own analysis, constituted *prima facie* evidence as to the cause of the charges in the two categories at issue, and that SM Line had failed to effectively rebut that evidence. *See id.* at 55; SEA Reply at 8-14; *see also id.* at 16-17 (other evidence supports the existence of port congestion problems at relevant terminals).

And SM Line has failed to rebut the evidence in the D&D Summary Report here, despite its dubious claim that its own detailed internal risk assessment was "not meant to be exhaustive or accurate." SM Line Exceptions at 4. Contrary to SM Line's claims, the record shows that the Report was prepared through a close analysis of the carrier's data and contemporaneous emails, and it

provides a wealth of specific information on the shipment of thousands of containers, including container numbers, dates, receiving terminals, D&D amounts billed and paid, and as to most charges, an underlying cause. *See* Decision at 34-35, 54-55; SEA Reply at 11-13; CX4714. The Report’s creator Yeonhui Yi, a senior manager at SM Line, had strong incentives to provide a fair assessment of the data for executives and attorneys. *See* Decision at 15, 34-35; SEA Reply at 10-14. SEA also provides a persuasive account of SM Line’s continued work on an “expanded” version of the Report, apparently completed a month later, that reached identical conclusions as to key categories at issue. *Id.* at 13-14 (citing CX4714, CX4715, and related testimony). And “a statement asserting a fact distinctly against one’s interest is unlikely to be deliberately false or heedlessly incorrect.” *Lee v. Illinois*, 476 U.S. 530, 551 (1986) (Blackmun, J. dissenting) (quoting 5 J. Wigmore, *Evidence* § 1457, p. 329 (J. Chadbourn rev. 1974)); *see* SEA Reply at 10. To the extent the Report found that D&D charges occurred for reasons that were not SEA’s responsibility, it is sufficiently reliable in the context of this case.

The ALJ awarded SEA interest on the amount of the reparations award under 46 U.S.C. § 41305(a), which provides that “actual injury” resulting from a violation “includes the loss of interest at commercial rates compounded from the date of injury.” *See* Decision at 61; 46 C.F.R. § 502.253. The ALJ noted that for multiple violations over a period of time, there is FMC precedent for selecting a mid-point date as a reasonable way to approximate injury. *See* Decision at 61. Here, the ALJ noted that violations were alleged to have occurred between April 20, 2020 and December 31, 2022, so the ALJ selected the mid-point between those dates, August 25, 2021.

SM Line challenges that date selection, but that challenge is denied. SM Line argues that SEA unduly delayed in filing this case in light of the thousands of charges at issue, and so interest should only run from the date of complaint service on April 19, 2023. *See* SM Line Exceptions at 7-8. But there is no significant support for

that claim. SM Line cites cases which indicate that federal courts have discretion as to when interest begins to accrue, but nothing to call into question section 41305(a)'s explicit statement that interest runs from the date of injury. And the claim of undue delay is weak, especially in light of the moderate three-year statute of limitations, which already excludes any reparations claims SEA may have had prior to April 20, 2020.

However, we do make a small modification of the starting date for interest. We note that based on the specific data in the D&D Summary Report, the charges for which the ALJ actually awarded reparations—those that fell into the port congestion and chassis shortage categories—all occurred within the period July 2021 to April 2022. *See* CX4714; Decision at 59-61; *see also* SM Line Exceptions at 6-7 (discussing specific shipments within that period); SEA Reply at 14-17 (same). Thus, a reasonable mid-point date based on the “actual injury” for which reparations were awarded would be November 30, 2021, mid-way between the end dates of the violations, and about three months later than the ALJ's selected date of August 25, 2021.

Accordingly, we uphold the ALJ's award of reparations of \$1,913,355.80, with the award of statutory interest modified to run from November 30, 2021.

- b. SEA's challenge to the reparations award is unpersuasive

SEA argues that the ALJ correctly relied on the D&D Summary Report to award reparations, but that the ALJ should have gone much further and awarded additional reparations that would bring the total award to about \$17 million. *See* SEA Exceptions. But like SM Line, SEA fails to show an abuse of discretion by the ALJ in the circumstances of this case.

SEA's main claim is that, although it presented no container-by-container analysis, it had no need to, because it was sufficient

that the ALJ found SM Line had an unlawful practice of billing D&D without regard to fault, as discussed in the liability context above. *See* SEA Exceptions at 2-6, 20-25; section II.B.1.b, *supra*. In SEA's view, that determination is sufficient to justify reparations for virtually every D&D charge it can show it paid in connection with SM Line's service during the relevant period, about \$14.5 million, as well as about \$2.6 million in additional costs and alleged lost profits, totaling about \$17 million. *See id.* at 2-3, 6, 25-28.

SEA has not justified across-the-board reparations any more than it showed across-the-board liability. However broad SM Line's unreasonable practice may have been, to obtain reparations a claimant must establish proximate cause for a claimed loss under section 545.4(e), which occurred here only as to charges in the port congestion and chassis shortage categories. SEA's acknowledgement that three categories of charges on the D&D Summary Report were not unreasonably charged effectively concedes the point. To award reparations for all of the roughly \$4.6 million in charges on the Report where the underlying cause is unclear, as well as for more than \$10 million in additional costs not on the Report, would mean awarding damages for charges for which SEA itself may be responsible, as it was for the three categories. *See* SEA Exceptions at 31. SEA's burden-shifting claim falls short where it never presented sufficient container-specific evidence, beyond what the Report provided for the port and chassis categories.

SEA argues (Exceptions at 25-28) that it did show all its claimed damages to a reasonable certainty, noting that it provided a detailed showing as to the amounts it paid in different categories, but as the ALJ found, it is not enough to show payments without linking them to proved liability under section 41102(c). *See* Decision at 59-61 (citing, *inter alia*, *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (there is no presumption of damage and damages must be shown to be the result of an unlawful act)). In particular, SEA describes the documentary and expert testimony support for some \$14.5 million in D&D and related charges it paid,

which the ALJ described as “all inland transportation charges” including “demurrage, rail storage, equipment detention, rehandling, yard storage, pre-pull, chassis usage, expedite, diversion, driver detention, chassis flip, chassis preposition and chassis split,” as well as an additional \$2.6 million in additional costs and alleged lost profits. Decision at 60. SEA broadly asserts that SM Line’s unlawful practices caused it to have to pay these charges and costs. *See* SEA Exceptions at 26-28. But again, none of that links the payments to liability at the container level; it simply shows that during a period in which SM Line was billing unreasonably for D&D to some extent, SEA made many D&D and related payments. That does not show “actual injury caused by a violation” under section 41305(b).

Perhaps recognizing that the above showing may not be sufficient, SEA also makes extensive arguments based on the D&D Summary Report, seeking to recoup not only virtually all charges listed on that Report but also additional costs that SEA claims can be extrapolated from the Report. *See* SEA Exceptions at 28-36. But these claims are also unavailing.

First, SEA argues that it should be awarded reparations for all the paid D&D charges listed on the Report where there was insufficient evidence of the underlying cause or SM Line otherwise failed to justify the charge, which would add about \$4.6 million to the \$1.9 million the ALJ awarded. *See* SEA Exceptions at 29-33. But again, in this proceeding the burden to prove that a particular charge unlawfully caused SEA harm is with SEA, and SEA has not done so for charges beyond the port congestion and chassis shortage categories. Indeed, it seems unlikely that every other charge on the Report beyond the three categories SEA does not dispute was SM Line’s responsibility. For example, for the detention charges, a category totaling roughly \$1.2 million, it seems quite possible that at least some of those were due to issues within SEA’s control. That was the situation in *Evergreen*, a case on which SEA relies, where evidence indicated that detention charges were incurred as a result of the closure of the plant of the cargo importer. *See* 2025 WL

516256, at *1-2. SEA also appears to claim that SM Line should have ascertained the underlying cause (beyond simple lateness) of each D&D charge before billing for it, but on this point even OSRA 2022 requires that carriers certify only that they did not cause or contribute to the charges. *See* 46 U.S.C. § 41104(d)(2)(M).

SEA also contends that the Commission should extrapolate from the paid charges on the Report to estimate damages for the charges and other costs not on the Report, including amounts paid to third parties and lost profits, which would bring its damages amount to something close to the \$17 million it seeks under its main theory above. *See* SEA Exceptions at 29-30, 33-36. It does not appear that SEA made that argument to the ALJ, but even assuming it has been preserved, it fails for the same reason that SEA's claims as to the majority of charges on the Report do: Charges that have not been shown to create liability under the statute cannot be the basis for extrapolation.

More plausibly, SEA argues that the Commission should at least extrapolate from the damages the ALJ did award, for the port congestion and chassis shortage charges on the Report, to the charges at issue that are *not* on the Report, and award damages in the same proportion for all charges. *See* SEA Exceptions at 35. That is a closer call, as extrapolation can be an appropriate way to show damages in some contexts. *See, e.g., Worldwide Relocations, Inc., et al. – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, FMC Docket No. 06-01, 2012 WL 11914713, at *6-7 & n.1 (FMC Mar. 15, 2012) (reasonable inferences can be drawn as to whether an entity held itself out as a common carrier for shipments beyond those for which there is evidence if the relevant conduct is sufficiently consistent); *Allied Tube & Conduit Corp. v. S. Pac. Transp. Co.*, 211 F.3d 367, 372 (7th Cir. 2000) (sampling is sufficient to show damage to whole shipment of pipes as long as sample is “reasonably representative” (cleaned up)).

But in this case, SEA has not shown that the D&D charges on the Report, or SM Line's conduct as to those charges, is

reasonably representative of the non-Report charges. On the contrary, the non-Report charges seem to encompass a variety of related but distinct types of costs—many paid to entities other than SM Line, presumably with their own charging practices—including costs for rail storage, yard storage, handling costs, and different types of chassis services. *See* Decision at 60. Even if we could say that SM Line billed SEA for D&D unlawfully at least a certain percentage of the time, it is not clear here how that could be reasonably applied to such different types of charges and costs. Thus, we do not see a sufficient basis to estimate that those other costs are attributable to unlawful SM Line conduct in the same proportion as the D&D charges on the Report are.

We recognize that it is quite possible that some other charges for which SEA seeks to recover, both on the D&D Summary Report and beyond it, were assessed in violation of section 41102(c). For example, SEA claims that the rail storage charges were affected by the underlying causes of the port congestion and chassis shortage charges on the Report, and it also appears to assert that SM Line was completely responsible for all the rail storage charges. *See* SEA Exceptions at 27, 35 n.9. But such general assertions are not sufficient here. SEA has provided no reasonably certain basis on which to draw the line between lawful and unlawful, and thus between recoverable and unrecoverable costs. It was within the ALJ's discretion not to award reparations beyond the port congestion and chassis shortage categories. *See* Decision at 54-55, 59-61.

Finally, SEA argues that it should get the benefit of an adverse inference because SM Line failed to maintain records adequate to support a container-by-container analysis. *See* SEA Exceptions at 36-37. That will be addressed below in connection with SEA's spoliation claim, but in short, SEA has not shown that SM Line prevented it from building an adequate record sufficient to justify an adverse inference. As the ALJ found, SM Line was able to create the D&D Summary Report in a matter of weeks, finding at least some information as to the underlying reasons for 62% of the

charges, and it produced emails supporting the information it found as to the reasons for the charges. *See* Decision at 34-35. The Report itself provides many data points as to each of the charges from which more information might have been developed. *See id.*; CX4714. As SM Line notes, SEA had avenues to build its case. *See* SM Line Reply at 1-3, 23-25. It was within the ALJ's discretion not to make an adverse inference here.

Given the above, SEA's position that it should get reparations for virtually *all* D&D bills and related costs it paid simply because SM Line's practice during this period resulted in *many* unreasonable bills is unsupported. SEA has not provided a sufficient basis to go further than the ALJ did here in awarding reparations.

2. SEA's request for double reparations, which it does not appear to have made to the ALJ, is unsupported and is denied

SEA seeks double reparations under 46 U.S.C. § 41305(c) for the section 41102(c) violations, but it fails to justify such an award. *See* SEA Exceptions at 37-41. SEA does not appear to have made that request to the ALJ. But even if the claim has been preserved, SEA provides no sufficient basis for it here, where SEA proved no specific violations occurring after OSRA 2022 made additional reparations available for section 41102(c) violations in June 2022.

SEA argues that the record evidence of SM Line's improper goal of generating revenue from D&D charges shows that SM Line's section 41102(c) violations were willful and merit additional reparations under section 41305(c). *See* SEA Exceptions at 37-39. Section 41305(c) provides that the Commission may order the payment of "additional amounts" for certain violations up to "twice the amount of actual injury." Although section 41102(c) was not previously one of those violations, OSRA 2022 added it for violations after the statute's effective date of June 16, 2022. *See Way*

Interglobal Network, LLC v. Shenzhen Unifelix Scm Ltd., FMC Docket No. 22-28, 2024 WL 1741944, at *41-43 (ALJ Apr. 19, 2024).

First, this claim does not seem to have been preserved because SEA does not appear to have raised it before the ALJ, denying the ALJ the opportunity to review it and the Commission the benefit of the ALJ's analysis. SEA relies heavily on the recent award in *Way Interglobal*, but there the claimant had raised the matter before the ALJ. *See* 2024 WL 1741944, at *41-43.

More fundamentally, SEA proved no specific section 41102(c) violations occurring after OSRA 2022's June 2022 effective date. The charges in the port congestion and chassis shortage categories on the D&D Summary Report all predate June 2022; it appears the latest occurred in April 2022. *See* CX4714. SEA does not claim otherwise. Certainly, the Report includes some paid charges after the June 2022 effective date, and SEA broadly claims to have paid more than \$2 million for such later charges overall. *See* SEA Exceptions at 40. But SEA does not show that any of those specific charges were unreasonable, or even provide a specific cite to the record to support its \$2 million figure. The record does show that the six invoices SM Line issued in violation of section 41104(a)(14) were dated after the effective date, but there is no evidence that they were ever paid. SEA seeks double reparations even for pre-OSRA 2022 violations, citing "the interests of equity," *id.* at 40-41, but that would be inconsistent with the statute at the time of the violations, and OSRA 2022 does not apply retroactively.

3. SEA's request to use the Rule 251 procedure is denied

SEA also argues that, if the Commission does not find that SEA has made a sufficient showing of reparations beyond what the ALJ awarded, it should be permitted to utilize the procedure in 46 C.F.R. § 502.251 (Rule 251) to make that showing. *See* SEA Exceptions at 41-43. Rule 251 provides that where a case involves

many shipments, and the Commission finds liability and a right to reparations, “the parties thereafter will be given an opportunity to agree or make proof” about the amount due before the Commission awards the reparations. However, SEA has not shown that this case, where SEA has had ample opportunity to prove reparations and voluminous evidence on the subject has been submitted, is an appropriate one for that procedure.

SEA does not quite claim that it actively sought to use the Rule 251 procedure earlier, but it asserts that “the Presiding Officer did not acknowledge SEA’s references to Rule 251 as potential tool [sic] if there was any evidentiary question. SEA Initial Br. at 78.” SEA Exceptions at 42. Assuming that means SEA’s Initial Brief of April 2024, we find no reference to Rule 251 in it, and nothing relevant on page 78, although SEA did state, in a tiny-font footnote at the end of the 80-page brief that appeared below the signature block, that if the ALJ found a more detailed container-specific analysis necessary, the ALJ “could bifurcate consideration of liability and damages calculation, or otherwise consider the damages evidence to whatever level of detail desired at a hearing.” SEA’s Initial Brief in Support of Its Claims Against SM Line (Doc. 85) (Apr. 18, 2024) (SEA Initial Brief) at 80 n.29. It is unreasonable, at best, to fault the ALJ for not “acknowledg[ing]” such a “reference,” which came at the end of a brief in which SEA had argued at great length that it had already done everything necessary to establish damages. SEA Exceptions at 42; *see* SEA Initial Brief at 51-80. In this situation, and where SEA has had ample opportunities to develop and present its reparations evidence, it has failed to timely request a Rule 251 procedure. *See MSC*, 141 F.4th at 241 (“Mentioning an argument in the most skeletal way, leaving the court to do counsel’s work ... is tantamount to failing to raise it.” (cleaned up)).

Even if it is not too late for SEA to raise the Rule 251 issue, it is too late for SEA to prevail on it here. SEA argues that the procedure is now mandatory, *see* SEA Exceptions at 42, but SEA has already had numerous opportunities to develop the evidence of

reparations that Rule 251 envisions, as part of the conduct of this proceeding since SEA filed its complaint in April 2023. An extensive record has been developed, including as to the scope of liability and specific damages. *See* Decision at 13-37. SM Line argues persuasively that this is not the type of situation for which Rule 251 was intended, noting that it has been used in cases that actually were bifurcated or where damages were very unclear for some reason other than the claimant's failure to develop evidence it could have. *See* SM Line Reply at 22-25. As SM Line notes and the above discussion shows, here reparations were very much the subject of comprehensive proceedings before the ALJ, but SEA primarily took the position that it need not develop container-specific evidence linking payments to violations, because simply showing the existence of a "systemic" section 41102(c) violation was sufficient to show damages as to virtually every D&D invoice it paid. *See id.*

SEA relies mainly on an FMC case from the 1970s, but the situation there was very different. *See* SEA Exceptions at 42-43 (citing *Perry's Crane Serv. v. Port of Houston*, FMC Docket No. 75-51, 16 S.R.R. 1459, 1490 (ALJ Sept. 28, 1976), *aff'd*, 19 F.M.C. 548, 551 (FMC Feb. 25, 1977)). In *Perry's Crane*, the matter was remanded for further development of damages evidence because that evidence had been developed in a "rather hit or miss, haphazard manner," resulting in a "sketchy and confusing" record and leaving a claimant that had shown liability without any financial remedy. 16 S.R.R. at 1487, 1493. Here, by contrast, record development has been extensive, involving thousands of documents, numerous depositions, and expert testimony, with detailed fact-finding and briefing, and SEA has been awarded substantial reparations for the violations that were actually proved. *See* Decision at 1-36, 59-61; SM Line Reply at 24.

D. The denial of SEA's request for sanctions for spoliation was within the ALJ's discretion

SEA has moved for sanctions, specifically an adverse inference or at least attorneys' fees, because of SM Line's alleged spoliation of evidence in failing to issue a litigation hold and failing to alter an email auto-delete practice at its South Korean headquarters. *See* SEA Exceptions at 43-49. Although SM Line's conduct is cause for some concern, it was not an abuse of discretion for the ALJ to deny sanctions in the circumstances here. *See* Decision at 38-44.

After a detailed analysis, the ALJ concluded that SEA had not established any of the elements needed to justify sanctions under Federal Rule of Civil Procedure 37(e) (Rule 37(e)), which governs the failure to preserve electronically stored information (ESI). *See* Decision at 39-41 (citing 46 C.F.R. § 502.12, applying the Federal Rules to FMC proceedings to the extent consistent with sound administrative practice). Specifically, the ALJ found that SEA's duty to preserve information had not arisen until after relevant information had already been destroyed, that SEA had not shown a sufficient level of culpability, that SEA had failed to show prejudice from the loss of documents, and that the overall course of conduct in discovery between the parties did not call for sanctions. *See id.* at 41-44.

Rule 37(e) requires that, where information that (1) "should have been preserved" for litigation is lost and cannot be restored or replaced, a court "may" impose a sanction after a finding of either (2) "prejudice" to a party from the loss of the information or (3) an "intent to deprive" the other party of the information. *See* Fed. R. Civ. P. 37(e)(1), (2). So for sanctions to be imposed, Rule 37(e) requires a showing of the first element, and then either the second or third elements. Although the ALJ's analysis is not structured exactly as Rule 37(e) is, that analysis sufficiently addresses the key issues. In addition, we note that even where one of the two paths to potential sanctions exists under Rule 37(e) (elements (1) and (2), or

(1) and (3)), imposing sanctions is still discretionary, as indicated by its use of the word “may.” Finally, “[t]he burden of proof is on the party alleging spoliation.” *Ball v. George Wash. Univ.*, Civ. No. 17-0507, 2018 WL 4637008, at *1 (D.D.C. 2018).

1. Loss of information that should have been preserved

The first threshold issue under Rule 37(e) is whether information that “should have been preserved” was lost and could not be replaced or recovered. *See* Decision at 40-42. “Courts have interpreted the obligation to preserve ESI to arise when litigation is pending or reasonably foreseeable.” *Id.* at 40 (citing *Oil Equipment Co. v. Modern Welding Co.*, 661 F. App’x 646, 652 (11th Cir. 2016)). Thus, a duty to preserve can arise before litigation starts, although “[o]ften [pre-litigation] events provide only limited information about that prospective litigation, [] so that the scope of information that should be preserved may remain uncertain. It is important not to be blinded to this reality by hindsight arising from familiarity with an action that is actually filed.” *Id.* at 40-41 (quoting Fed. R. Civ. P. 37(e) Advisory Committee Notes to 2015 Amendment).

The ALJ closely examined the competing claims as to this initial requirement, and in particular when the duty to preserve arose here. SEA argued that occurred with its September 23, 2022 demand letter, whereas SM Line argued it was not until SEA served its FMC complaint on April 19, 2023. *See* Decision at 41-42. That difference was potentially critical because the record showed that SM Line had a 90-day auto-delete policy for its email systems, strictly enforced in South Korea, and SEA’s claims extended only until the end of 2022. *See id.* at 42-43. The ALJ focused on the demand letter text, noting that the letter said SEA “intends to seek reparations” from the FMC for the fees at issue, but also that SEA “prefers to reach a private and amicable resolution on mutually-acceptable terms,” and the letter sought a response about SM Line’s interest in a “confidential settlement.” *Id.* at 41-42. SM Line responded on

October 4, 2022, expressing a willingness to review SEA’s claims, and it provided information about dispute resolution, including a request for more specifics on the claims. *See id.* at 42. The ALJ concluded that the duty to preserve did not arise until the April 2023 complaint, after 2022 emails would have been deleted, emphasizing that the demand letter was “equivocal” about filing suit, since it stated that SEA “prefer[red]” to reach a negotiated settlement; that SM Line responded with a willingness to review the claims; and that the demand letter did not request a litigation hold. *Id.* at 42.

The ALJ’s conclusion with regard to the first element was within the ALJ’s discretion. The analysis here is highly fact-specific. The mere existence of a dispute is insufficient to trigger a pre-litigation duty to preserve, especially where there is a stated preference for settlement, but direct, specific threats of litigation can be sufficient. *See* Decision at 42 (citing *Steves and Sons, Inc. v. JELD-WEN, Inc.*, 327 F.R.D. 96, 106 (E.D. Va. 2018) (in turn citing cases and quoting *Cache La Poudre Feeds, LLC v. Land O’Lakes, Inc.*, 244 F.R.D. 614, 623 (D. Colo. 2007) (“demand letter preserving possibility of ... non-litigious resolution and equivocal statement of discontent were insufficient to implicate duty to preserve”) (cleaned up))). Here, SEA did threaten FMC litigation, but it also stated a preference for settlement. In addition, both parties expressed a willingness to engage in further discussion about dispute resolution. Moreover, SEA did not serve its FMC complaint until almost *seven months* after the demand letter. The ALJ indicated that the record did not provide details about settlement discussions, which might have explained that delay. *See* Decision at 42. In any case, on balance the factors above support a conclusion that the threat of litigation here was not yet direct or immediate enough to be reasonably foreseeable. In any event, even if the duty to preserve had arisen in late September 2022, a hold preserving materials starting in late June 2022 (90 days earlier) would seem to have reached emails about relatively few of the paid charges at issue, in light of the relatively small number of charges the D&D Summary Report shows SM Line collected after June 2022, as well as SEA’s shift away from “store door” carriage around August 1, 2022. *See*

CX4714; Decision at 20; *but see* SEA Exceptions at 40 (claiming without citation that SEA “was invoiced and paid 8,191 charges” after the enactment of OSRA 2022). No charges in the “port congestion” or “chassis shortage” categories on the Report were dated June 2022 or later. *See* CX4714.

In addition, it is not clear that SM Line should have reasonably expected such a duty to extend to emails held solely in South Korea. It appears that SM Line’s U.S. office would have had most if not all of the materials relevant to SEA’s U.S.-focused D&D claims and, as that office did not strictly observe the auto-delete policy, SM Line produced relevant materials from it. *See* Decision at 34, 38-39, 42-43. We are mindful of the warning in the Rule 37(e) 2015 Advisory Committee Notes not to retroactively ascribe too much awareness of the scope of potential litigation before that litigation has even begun. *See* Decision at 40-41. SEA has failed to show that any relevant emails lost in South Korea were not restored or replaced by the production SM Line provided.

SEA’s arguments on this point are ultimately insufficient. *See* SEA Exceptions at 43-46. SEA concedes that its September 2022 letter expressed a preference for a non-litigation settlement, but it stresses that the rest of the letter outlined claims that SEA planned to make to the FMC. *See id.* at 43, 45-46. Although SEA’s own quotation from the letter shows that settlement was the subject of at least two sentences, *see id.* at 43, that overall focus is a fair point. However, detail about SEA’s potential claims would also serve to promote the negotiated solution it explicitly said it preferred. More fundamentally, although SEA seems to assert that any “demand letter” is sufficient to trigger a duty to preserve, even the cases it cites show that courts examine the specific text of such letters to determine if litigation really is “reasonably foreseeable.” *See id.* at 45. Indeed, SM Line responds that SEA’s letter was not really a “demand” letter at all, because it did not make a threat of sufficiently imminent legal action and came only from SEA managers, not legal counsel, as in some cases on which SEA relies. *See* SM Line Reply at 19-20. On balance, and especially in view of

the almost seven months that passed before SEA actually filed its FMC complaint, it was within the ALJ's discretion to find that the duty to preserve ESI did not arise until April 19, 2023, when emails in South Korea related to the 2022 shipments would presumably have been deleted.

2. Intent to deprive

The ALJ turned next to the issue of intent to deprive SEA of information. The ALJ determined that SEA had failed to show a sufficient level of culpability, mainly because the record indicated that SM Line was following a policy established in 2017 as to the South Korean emails in question, with no evidence of a specific intent to harm SEA. *See* Decision at 41-43.

That finding was within the ALJ's discretion. As the ALJ noted, the standard for this showing is a fairly high one, such that even gross negligence is insufficient, and a showing of purposeful or bad faith conduct is necessary. *See* Decision at 41; *Tesoriero v. Carnival Corp.*, 965 F.3d 1170, 1183-84 (11th Cir. 2020) (bad faith is "the standard for spoliation sanctions," which "generally means destruction for the purpose of hiding adverse evidence," and "[m]ere negligence is not enough" (cleaned up)). Here, SEA does not appear to dispute that SM Line had the pre-existing auto-delete policy and that was the reason any relevant materials were lost. The ALJ found that the policy was implemented to "promote efficiency and control costs." Decision at 42-43. Such a policy could also be expected to limit the evidence available for litigation, but simply following such a policy does not show the intent required to support sanctions here. *See id.* (citing *Micron Tech., Inc. v. Rambus, Inc.*, 645 F.3d 1311, 1322 (Fed. Cir. 2011) ("[W]here a party has a long-standing policy of destruction of documents on a regular schedule, with that policy motivated by general business needs, which may include a general concern for the possibility of litigation, destruction that occurs in line with the policy is relatively unlikely to be seen as spoliation.")). And SEA points to no general legal requirement that SM Line preserve emails for more than 90 days.

Similarly, there seems to be no indication in the record that the failure to issue a litigation hold reflected an intent to deprive SEA of information, although that failure is not something that should generally occur with sophisticated parties engaged in FMC litigation. *See* Decision at 43 (noting the initial FMC order in this case reminding parties of the preservation duty). The Commission cautions SM Line about the need to comply with its preservation duty in litigation before the agency. But here, there seems to be no evidence in the record that the failure to issue a hold reflected an intent to deprive SEA of information. In fact, the parties don't seem to point to any particular reason for that failure.

SEA's arguments that SM Line did have the required intent are unpersuasive. *See* SEA Exceptions at 46-47. First, SEA faults the ALJ for employing a bad faith standard, claiming that the Decision wrongly relied on the Advisory Committee Notes to the 2015 Amendment for that standard. *See id.* at 46. But SEA's claim is wrong. The ALJ cited the Notes only for the idea that gross negligence is insufficient, then went on to rely on the Eleventh Circuit's 2020 *Tesoriero* decision, which explicitly and repeatedly endorses a bad faith standard. *See* Decision at 41. SEA does not even mention *Tesoriero*. SEA does cite several district court cases for the application of a "conscious dereliction" standard, and notes that failing to halt auto-deletion can lead to spoliation sanctions. *Id.* at 46-47. Applying such a standard would seem to lead to a closer call here than a bad faith standard, but in the end SEA still falls short, for the reasons above, especially the lack of clear evidence that SM Line knew it should have preserved the South Korea emails, at least prior to April 2023. At that point, SM Line points out, it did act to preserve relevant information and produced thousands of documents, a situation that distinguishes this case from SEA's cases. *See* SM Line Reply at 20-21.

3. Prejudice

Finally, the ALJ effectively determined that SEA had failed to show harm or prejudice from the loss of relevant information. *See*

Decision at 41, 43-44. The ALJ found that SEA had offered only general objections and speculation about the loss of material relevant to this case. SEA focused its claims on emails at SM Line's South Korean office, but the ALJ found that office had responsibility only for certain more significant D&D disputes, and SEA failed to show that it had engaged in such disputes during the relevant period. *See id.* at 43. Moreover, the ALJ found that SEA had not shown the destruction of any relevant policy documents, beyond those that were produced to it in the case. *See id.*

The ALJ's determination that SEA failed to show prejudice was within her discretion. It seems possible that material held only at SM Line's South Korea office would be relevant to SEA's claims, but SEA was unable to show prejudice from the loss of any such information here. SEA was able to develop significant evidence as to SM Line policies and practices, such as the 2017 D&D Management Procedure and the 2022 D&D Performance Improvement Plan, which it used to argue persuasively that SM Line had an improper revenue-seeking practice in billing D&D. The ALJ accepted that argument and we do so here. The real issue on which SEA would have benefited from more evidence is the circumstances relating to why the movement of specific containers in the U.S. led to specific D&D charges, evidence that would logically be present in the U.S., and not uniquely present in South Korea. More broadly, as noted above SM Line's production of information in this case was extensive, encompassing thousands of documents and the testimony of numerous witnesses. *See* Decision at 1-5, 13-36, 38-39, 42-43.

SEA argues that emails at SM Line's South Korea office would have been relevant to its claims because that office had responsibility for D&D policy, stop clocks, discounting, and disputes over a certain amount, relying on many specific citations to the record. *See* SEA Exceptions at 47-49. But these general points do not show that SEA actually suffered any prejudice in this case from the loss of emails. It is difficult to see how SEA was prejudiced by any loss of information that would have helped it establish that SM Line had an unreasonable D&D practice, because it was able to

show that with the documents SM Line did produce. SEA does not claim it needed the emails for that purpose. More importantly, SEA does not claim, nor does it seem likely, that lost emails present only in South Korea would have helped SEA establish the underlying reasons for specific D&D or other charges in the U.S., sufficient to show that more of the charges it paid should result in liability under a container-specific analysis. That is what SEA needed. But its general assertions about ways in which lost emails could have been relevant to its claims are insufficient.

E. SM Line's motion for confidential treatment is granted

SM Line filed an unopposed motion for confidential treatment. *See* Respondent's Motion for Confidential Treatment of Portions of Its Response to Complainant SEA's Exceptions to Initial Decision (Doc. 152) (July 16, 2025). The motion seeks such treatment for limited information contained in SM Line's Reply, specifically information that appears to have been discussed in response to SEA's use of such information in its Exceptions. *See id.* SEA and SM Line both filed public and confidential versions of those two briefs, although only SM Line moved for confidential treatment. It appears that no confidential information was included in SM Line's Exceptions or SEA's Reply. *See* SM Line Exceptions; SEA Reply.

In any event, SM Line has shown good cause for confidential treatment here and its motion is granted, as the ALJ granted similar motions filed below. *See* 46 C.F.R. § 502.5 (documents with confidential materials), 502.141(j) (protective orders); Decision at 44-46.

III. CONCLUSION

In response to the Exceptions filed by SEA and SM Line on June 20, 2025, the Commission affirms in part and modifies in part the ALJ's Initial Decision issued on May 28, 2025. Specifically, the Commission:

AFFIRMS the ALJ's determinations that SM Line violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15) in connection with demurrage and detention charges assessed on shipments of SEA containers from 2020 to 2022, that section 41102(c) liability was proved to the extent the record showed that 115 of those charges were assessed on the basis of "port congestion" or "chassis shortage," and that reparations be awarded for those violations in the amount of \$1,913,355.80;

AFFIRMS the ALJ's award of interest under 46 U.S.C. § 41305(a) to run from a date at the mid-point of the section 41102(c) violations, but **MODIFIES** the specific date chosen from August 21, 2021 to November 30, 2021, to better reflect the dates of the proved violations;

DENIES SEA's request for double reparations under 46 U.S.C. § 41305(c);

DENIES SEA's request to utilize the procedure at 46 C.F.R. § 502.251 to develop and present further evidence as to reparations;

AFFIRMS the ALJ's denial of SEA's request for spoliation sanctions; and

GRANTS SM Line's motion for confidential treatment of portions of its Response to SEA's Exceptions.

By the Commission.

David Eng
Secretary